Illustration 4

Rajesh and Ramesh are partners sharing profits in the ratio 3:2. Raman is admitted as a new partner and the new profit sharing ratio is decided as 5:3:2. The following revaluations are made. Pass journal entries and prepare revaluation account.

(a) The value of building is increased by ₹ 15,000.

(b) The value of the machinery is decreased by ₹ 4,000.

(c) Provision for doubtful debt is made for ₹ 1,000.

Solution

Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Buildings A/c Dr.		15,000	
	To Revaluation A/c			15,000
	(Appreciation in value of buildings recorded)			
	Revaluation A/c Dr.		5, 000	
	To Machinery A/c			4,000
	To Provision for doubtful debts A/c			1,000
	(Decrease in assets recorded and provision made)			
	Revaluation A/c Dr.		10,000	
	To Rajesh's capital A/c			6,000
	To Ramesh's capital A/c			4,000
	(Profit on revaluation transferred)			

Dr. **Revaluation Account** **Cr.**

Particulars	₹	₹	Particulars	₹
To Machinery A/c		4,000	By Buildings A/c	15,000
To Provision for doubtful debts A/c		1,000		
To Profit on revaluation transferred to				
Rajesh's capital A/c (3/5)	6,000			
Ramesh's capital A/c (2/5)	4,000	**10,000**		
		15,000		15,000

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